COMPLIANCE REFERENCE DOCUMENT

Manufacturing Sector — Textiles & Garments

Sector: Manufacturing Sector
Industry: Textiles & Garments
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SECTION 1 — COMMON COMPLIANCE (ALL SECTORS & INDUSTRIES)

1. GST Registration

GST Act • Registration • One Time • CRITICAL

Register under GST if turnover exceeds threshold (₹40L goods / ₹20L services)

PENALTIES: Failure to register under GST | Fine: ₹10,000 or 10% of tax due, whichever is higher

2. GSTR-1 Filing (Outward Supplies)

GST Act • Filing • Monthly • HIGH

File monthly/quarterly return of outward supplies by 11th of next month

PENALTIES: Late filing of GSTR-1 | Fine: ₹50/day (₹25 for NIL return), max ₹10,000

3. GSTR-3B Summary Return

GST Act • Filing • Monthly • HIGH

File monthly summary return by 20th of next month

PENALTIES: Late filing of GSTR-3B | Fine: ₹50/day (₹25 for NIL return), max ₹10,000

4. GST Annual Return (GSTR-9)

GST Act • Filing • Yearly • MEDIUM

File annual return by 31st December of following FY

PENALTIES: Late filing of annual return | Fine: ₹100/day, max 0.25% of turnover

5. E-Way Bill Compliance

GST Act • Other • Event Based • MEDIUM

Generate E-Way bill for goods movement exceeding ₹50,000

PENALTIES: Movement of goods without E-Way bill | Fine: ₹10,000 or 200% of tax payable

6. Income Tax Return (ITR-6)

Income Tax Act • Filing • Yearly • HIGH

File corporate ITR by 31st October of AY

PENALTIES: Late filing of ITR | Fine: ₹5,000 (₹1,000 if income < ₹5L) | Jail: Prosecution for non-filing (Sec 276CC)

7. Advance Tax Payment

Income Tax Act • Payment • Quarterly • HIGH

Pay advance tax: 15% by Jun, 45% by Sep, 75% by Dec, 100% by Mar

PENALTIES: Non-payment or short payment of advance tax | Fine: 1% simple interest per month on unpaid amount

8. TDS on Salary (Sec 192)

Income Tax Act • Payment • Monthly • HIGH

Deduct TDS on salary and deposit by 7th of next month

PENALTIES: Late deposit of TDS | Fine: 1% interest per month on amount deducted | Jail: Prosecution possible (Sec 276B)

9. TDS on Contractor (Sec 194C)

Income Tax Act • Payment • Monthly • MEDIUM

Deduct TDS on contractor payments and deposit monthly

PENALTIES: Non-deduction or late deposit of TDS | Fine: 1% interest per month + penalty equal to TDS amount | Jail: Prosecution possible (Sec 276B)

10. TDS on Professional Fees (Sec 194J)

Income Tax Act • Payment • Monthly • MEDIUM

Deduct TDS on professional/technical fees

PENALTIES: Non-deduction or late deposit of TDS | Fine: 1% interest per month + penalty equal to TDS amount | Jail: Prosecution possible (Sec 276B)

11. TDS Quarterly Return (Form 24Q/26Q)

Income Tax Act • Filing • Quarterly • HIGH

File TDS returns quarterly by 31st of following month

PENALTIES: Late filing of TDS return | Fine: ¹200/day, max ¹30,000

12. EPF Registration

PF Act • Registration • One Time • HIGH

Register for EPF if 20+ employees

PENALTIES: Failure to register for EPF | Fine: Up to ¹5,000 | Jail: Imprisonment up to 3 years (Sec 14)

13. EPF Monthly Contribution

PF Act • Payment • Monthly • HIGH

Deposit 12% employer + employee contribution by 15th of next month

PENALTIES: Late deposit of EPF contribution | Fine: Up to ¹5,000 or imprisonment up to 3 years | Jail: Up to 3 years (Sec 14)

14. EPF Annual Return (Form 5A)

PF Act • Filing • Yearly • MEDIUM

File annual EPF return by 30th November

PENALTIES: Failure to file EPF annual return | Fine: Up to ¹5,000 | Jail: Imprisonment up to 1 year (Sec 14)

15. ESI Registration

ESI Act • Registration • One Time • HIGH

Register for ESI if 10+ employees with wages < ¹21,000/month

PENALTIES: Failure to register under ESI | Fine: Up to ¹5,000 | Jail: Imprisonment up to 2 years (Sec 85)

16. ESI Monthly Contribution

ESI Act • Payment • Monthly • HIGH

Deposit 3.25% employer + 0.75% employee contribution by 15th of next month

PENALTIES: Late deposit of ESI contribution | Fine: Simple interest at 12% per annum | Jail: Imprisonment up to 2 years (Sec 85)

17. Professional Tax

Professional Tax • Payment • Monthly • MEDIUM

Deduct and pay professional tax as per state slab

PENALTIES: Failure to deduct/pay professional tax | Fine: ¹1,000 to ¹5,000 + interest 1.25% per month

18. Shop & Establishment License

Shop & Establishment Act • Licence • Yearly • HIGH

Obtain/renew shop license under state Shops & Establishments Act

PENALTIES: Operating without valid shop license | Fine: ¹250 to ¹5,000 per day of violation

19. Annual Return (MGT-7)

Companies Act • Filing • Yearly • HIGH

File annual return within 60 days of AGM

PENALTIES: Late filing of annual return | Fine: ¹100/day, min ¹5,000, max ¹5,00,000

20. Financial Statements (AOC-4)

Companies Act • Filing • Yearly • HIGH

File financial statements within 30 days of AGM

PENALTIES: Late filing of financial statements | Fine: ¹100/day, min ¹10,000, max ¹10,00,000

21. Board Meetings (Min 4/year)

Companies Act • Other • Quarterly • MEDIUM

Hold minimum 4 board meetings per year (gap <120 days)

PENALTIES: Non-holding of minimum board meetings | Fine: ¹25,000 on company + ¹5,000 per director per default

22. POSH Compliance

Labour Laws • Registration • Yearly • HIGH

Constitute Internal Complaints Committee under Sexual Harassment Act

PENALTIES: Failure to constitute ICC or comply with POSH Act | Fine: ¹50,000 (first offence), ¹1,00,000 (subsequent)

23. Payment of Bonus

Labour Laws • Payment • Yearly • MEDIUM

Pay bonus between 8.33% to 20% of wages

PENALTIES: Non-payment or short payment of bonus | Fine: Up to ¹1,000 or imprisonment up to 6 months | Jail: Up to 6 months (Sec 28)

24. Gratuity Compliance

Labour Laws • Other • Event Based • MEDIUM

Pay gratuity after 5 years continuous service (Payment of Gratuity Act)

PENALTIES: Non-payment of gratuity | Fine: ¹20,000 to ¹50,000 | Jail: Imprisonment up to 2 years (Sec 9)

25. Pollution Board Consent (CTE/CTO)

Environment Act • Licence • Yearly • HIGH

Obtain Consent to Establish and Operate from SPCB

PENALTIES: Operating without consent from Pollution Board | Fine: ¹1,00,000 to ¹5,00,000 per day of violation | Jail: Imprisonment up to 5 years (Sec 26)

SECTION 2 — MANUFACTURING SECTOR SECTOR COMPLIANCE

26. Factory License

Factory Act • Licence • Yearly • CRITICAL

Obtain Factory License under Factories Act, 1948

PENALTIES: Operating without factory license | Fine: ¹10,000 to ¹5,00,000 | Jail: Imprisonment up to 2 years

27. Building Plan Approval

Factory Act • Other • One Time • HIGH

Get building plan approved by Chief Inspector of Factories

PENALTIES: Constructing without approved plan | Fine: ¹10,000 to ¹1,00,000

28. Safety Officer Appointment

Factory Act • Registration • Yearly • HIGH

Appoint Safety Officer if 500+ workers (Factories Act)

PENALTIES: Not appointing Safety Officer | Fine: ¹5,000 to ¹50,000

29. Annual Return to Inspector of Factories

Factory Act • Filing • Yearly • HIGH

File annual return to Inspector of Factories

PENALTIES: Failure to file annual return | Fine: ¹5,000 to ¹50,000

30. Accident Reporting

Factory Act • Other • Event Based • CRITICAL

Report accidents within 12 hours (fatal) / 24 hours (serious)

PENALTIES: Failure to report accident | Fine: ¹50,000 to ¹5,00,000 | Jail: Imprisonment up to 1 year

31. Air Pollution Control

Environment Act • Other • Yearly • HIGH

Comply with Air Act emission limits for stacks

PENALTIES: Exceeding air emission limits | Fine: ¹1,00,000 per day of violation | Jail: Up to 5 years

32. Water Pollution Control

Environment Act • Other • Yearly • HIGH

Comply with Water Act effluent discharge standards

PENALTIES: Discharging untreated effluent | Fine: ¹1,00,000 per day + closure order | Jail: Up to 5 years

33. Hazardous Waste Management

Environment Act • Other • Yearly • HIGH

Comply with Hazardous Waste Management Rules

PENALTIES: Non-compliance with HWM rules | Fine: ¹1,00,000 to ¹10,00,000 | Jail: Up to 5 years

34. Building Workers Welfare Cess

Labour Laws • Payment • Yearly • MEDIUM

Pay 1-2% cess on construction cost under BOCW Act

PENALTIES: Non-payment of BOCW cess | Fine: ¹5,000 to ¹25,000

35. Inter-State Migrant Workmen Act

Labour Laws • Other • Yearly • MEDIUM

Comply with Inter-State Migrant Workmen Act if applicable

PENALTIES: Non-compliance with migrant labour act | Fine: ¹1,000 to ¹10,000 per worker | Jail: Up to 3 months

36. Child Labour Prohibition

Labour Laws • Other • Yearly • CRITICAL

Strict compliance with Child Labour Prohibition Act

PENALTIES: Employing child labour | Fine: ¹20,000 to ¹50,000 | Jail: Imprisonment 6 months to 2 years

SECTION 3 — TEXTILES & GARMENTS INDUSTRY COMPLIANCE

37. Fire Safety NOC

Factory Act • Licence • Yearly • CRITICAL

Obtain fire NOC from fire department for garment factories

PENALTIES: Operating without fire NOC | Fine: ¹25,000 to ¹1,00,000 + factory closure

38. Effluent Treatment Plant (ETP)

Environment Act • Other • Yearly • HIGH

Operate ETP for dyeing/wet processing units

PENALTIES: Operating without functional ETP | Fine: ¹1,00,000 per day + shutdown order | Jail: Up to 5 years

39. Contract Labour Compliance

Labour Laws • Registration • Yearly • HIGH

Comply with Contract Labour Act for garment manufacturing

PENALTIES: Non-compliance with Contract Labour Act | Fine: ¹1,000 to ¹10,000 per worker | Jail: Up to 3 months

40. Social Compliance Audit

Other • Other • Yearly • MEDIUM

Conduct SA8000/SEDEX/WRAP social audit

PENALTIES: Failure to conduct social audit | Fine: Loss of export orders and buyer contracts

PENALTY SUMMARY

#	COMPLIANCE ITEM	PENALTY	FINE
1	GST Registration	Failure to register under GST	¹10,000 or 10% of tax due, whichever is higher
2	GSTR-1 Filing (Outward Supplies)	Late filing of GSTR-1	¹50/day (¹25 for NIL return), max ¹10,000
3	GSTR-3B Summary Return	Late filing of GSTR-3B	¹50/day (¹25 for NIL return), max ¹10,000
4	GST Annual Return (GSTR-9)	Late filing of annual return	¹100/day, max 0.25% of turnover
5	E-Way Bill Compliance	Movement of goods without E-Way bill	¹10,000 or 200% of tax payable
6	Income Tax Return (ITR-6)	Late filing of ITR	¹5,000 (¹1,000 if income < ¹5L)
7	Advance Tax Payment	Non-payment or short payment of advance tax	1% simple interest per month on unpaid amount
8	TDS on Salary (Sec 192)	Late deposit of TDS	1% interest per month on amount deducted
9	TDS on Contractor (Sec 194C)	Non-deduction or late deposit of TDS	1% interest per month + penalty equal to TDS amount
10	TDS on Professional Fees (Sec 194J)	Non-deduction or late deposit of TDS	1% interest per month + penalty equal to TDS amount
11	TDS Quarterly Return (Form 24Q/26Q)	Late filing of TDS return	¹200/day, max ¹30,000
12	EPF Registration	Failure to register for EPF	Up to ¹5,000
13	EPF Monthly Contribution	Late deposit of EPF contribution	Up to ¹5,000 or imprisonment up to 3 years
14	EPF Annual Return (Form 5A)	Failure to file EPF annual return	Up to ¹5,000
15	ESI Registration	Failure to register under ESI	Up to ¹5,000
16	ESI Monthly Contribution	Late deposit of ESI contribution	Simple interest at 12% per annum
17	Professional Tax	Failure to deduct/pay professional tax	¹1,000 to ¹5,000 + interest 1.25% per month
18	Shop & Establishment License	Operating without valid shop license	¹250 to ¹5,000 per day of violation

19	Annual Return (MGT-7)	Late filing of annual return	¹100/day, min ¹5,000, max ¹5,00,000
20	Financial Statements (AOC-4)	Late filing of financial statements	¹100/day, min ¹10,000, max ¹10,00,000
21	Board Meetings (Min 4/year)	Non-holding of minimum board meetings	¹25,000 on company + ¹5,000 per director per default
22	POSH Compliance	Failure to constitute ICC or comply with POSH Act	¹50,000 (first offence), ¹1,00,000 (subsequent)
23	Payment of Bonus	Non-payment or short payment of bonus	Up to ¹1,000 or imprisonment up to 6 months
24	Gratuity Compliance	Non-payment of gratuity	¹20,000 to ¹50,000
25	Pollution Board Consent (CTE/CTO)	Operating without consent from Pollution Board	¹1,00,000 to ¹5,00,000 per day of violation
26	Factory License	Operating without factory license	¹10,000 to ¹5,00,000
27	Building Plan Approval	Constructing without approved plan	¹10,000 to ¹1,00,000
28	Safety Officer Appointment	Not appointing Safety Officer	¹5,000 to ¹50,000
29	Annual Return to Inspector of Factories	Failure to file annual return	¹5,000 to ¹50,000
30	Accident Reporting	Failure to report accident	¹50,000 to ¹5,00,000
31	Air Pollution Control	Exceeding air emission limits	¹1,00,000 per day of violation
32	Water Pollution Control	Discharging untreated effluent	¹1,00,000 per day + closure order
33	Hazardous Waste Management	Non-compliance with HWM rules	¹1,00,000 to ¹10,00,000
34	Building Workers Welfare Cess	Non-payment of BOCW cess	¹5,000 to ¹25,000
35	Inter-State Migrant Workmen Act	Non-compliance with migrant labour act	¹1,000 to ¹10,000 per worker
36	Child Labour Prohibition	Employing child labour	¹20,000 to ¹50,000
37	Fire Safety NOC	Operating without fire NOC	¹25,000 to ¹1,00,000 + factory closure
38	Effluent Treatment Plant (ETP)	Operating without functional ETP	¹1,00,000 per day + shutdown order
39	Contract Labour Compliance	Non-compliance with Contract Labour Act	¹1,000 to ¹10,000 per worker
40	Social Compliance Audit	Failure to conduct social audit	Loss of export orders and buyer contracts

DUE DATE CALENDAR GUIDE

FREQUENCY		
Monthly	By 15th of every month	GSTR-3B, PF Payment, ESI Payment
Quarterly	By 15th of month following quarter end	GSTR-1 (QRMP), PF Return
Half-Yearly	Within 6 months of period end	POSH Annual Report
Yearly	Within 3 months of FY end (by June 30)	IT Return, Annual Return, Audit
One-Time	Within 1 year of applicability	GST Registration, PF Registration
Event-Based	As per event timeline	GST Revocation, Change in Details